

# WILD RIDE FOR ₹ TO CONTINUE?

**RBI may go easy on the rupee and give priority to domestic issues. The fuss over the rupee's level should end**

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## **RBI UNDER THE SCANNER**

- THE RBI SOLD A SPECULATED \$70 BILLION IN DECEMBER 2024 TO DEFEND THE RUPEE WHEN IT CAME UNDER INTENSE PRESSURE
- SOME OBSERVERS HAVE SAID THAT THE RBI'S DOLLAR SALES LED TO A TIGHTENING IN LIQUIDITY CONDITIONS IN INDIA
- HOWEVER, THE RBI'S STATED POLICY, REITERATED BY NEW GOVERNOR SANJAY MALHOTRA, IS THAT IT DOES NOT TARGET A SPECIFIC RATE
- THE CENTRAL BANK HAS SAID IT INTERVENED TO ENSURE THAT MOVEMENT IS ORDERLY AND THERE'S NO EXCESSIVE VOLATILITY
- BUT CONSIDERING THE UNCERTAINTY SPARKED BY US PRESIDENT DONALD TRUMP'S POLICY, THE RUPEE IS EXPECTED TO FEEL PRESSURE